



GOVERNMENT OF KHYBER PAKHTUNKHWA
PLANNING & DEVELOPMENT DEPARTMENT



C(PPP)(PND)/17709584422847377/2026

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SUMMARY FOR THE CHIEF MINISTER

Subject REQUEST FOR APPROVAL OF PPP COMMITTEE MINUTES OF MEETING REGARDING TECHNICAL FEASIBILITY OF KHYBER PAKHTUNKHWA FOREST CARBON CREDIT MAPPING, CONCESSION AGREEMENT OF THANDIANI TOURISM PROJECT & REVISED FEASIBILITY STUDY OF DIR MOTORWAY.

The 9th meeting of the Public-Private Partnership (PPP) Committee was held on 27 January 2026 at the Chief Minister Secretariat under the Chairmanship of the Hon'ble Chief Minister Khyber Pakhtunkhwa to consider PPP projects relating to tourism development, climate change mitigation, and regional connectivity. The following projects were discussed;

1. Thandiani Tourism Project
2. Carbon Removal through Forestation Project
3. Dir Motorway Project

2. Thandiani Tourism Project:

The Committee considered the Concession Agreement of the Thandiani Tourism Project, which had earlier been scrutinized and cleared by the PPP Unit after detailed negotiations on transaction structure, reserve price, revenue-sharing mechanism, risk allocation, and oversight arrangements. The PPP Unit had confirmed compliance with the KP PPP Act, 2020, and incorporation of safeguards to protect public interest. After deliberation, the Committee unanimously approved the Concession Agreement and authorized its execution, with directions for enhanced third-party oversight and incorporation of government observations in periodic reviews.

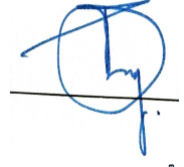
3. Carbon Removal through Forestation Project:

The Committee reviewed the Technical Feasibility Study of the Carbon Removal through Forestation Project, which had been recommended by the PPP Unit following assessment of project viability, carbon credit potential, revenue-sharing framework, and risk allocation. The PPP Unit had endorsed offering the identified IFM and ARR project packages to the private sector under PPP mode. After discussion, the Committee unanimously approved the feasibility study and allowed proceeding with procurement in accordance with the approved PPP transaction structure.

4. Dir Motorway Project:

The Committee examined the Revised Feasibility Study and Financial Model of the Dir Motorway Project, which had earlier been discussed at the PPP Unit, where it was recommended that all technical options be placed before the PPP Committee for decision. The Committee deliberated on affordability, tolling, economic benefits, and implementation risks. In the larger public interest, it was decided that the project may be developed in parallel under both EPC and PPP modalities, and that a comparative assessment be undertaken prior to selection of the most appropriate and economical implementation option.

5. In the light of the above, the honorable Chief Minister is requested to approve minutes of the PPP Committee meeting at [Annex I](#), please.



(LT. (RTD) ISLAM ZEB)
ADDITIONAL CHIEF SECRETARY
PLANNING & DEVELOPMENT
05-02-2026

CHIEF SECRETARY GOVT OF KHYBER PAKHTUNKHWA

6. Para 05 is submitted for approval please.



(SHAHAB ALI SHAH)
CHIEF SECRETARY GOVT OF KHYBER
PAKHTUNKHWA
05-02-2026

CHIEF MINISTER KHYBER PAKHTUNKHWA

7. **Para 5 approved.**



(MUHAMMAD SOHAIL AFRIDI)
CHIEF MINISTER KHYBER
PAKHTUNKHWA
06-02-2026

Subject: Minutes of the 9th meeting of the Public-Private Partnership Committee

A meeting of the PPP Committee was held under the Chairmanship of the Honorable Chief Minister Khyber Pakhtunkhwa at the Chief Minister Secretariat, on January 27, 2026 at 1200 hours on the following agenda items;

1. Approval of Concession Agreement of the Thandiani Tourism Project
2. Approval of the Feasibility Study of the Project "Removal of Carbon through forestation"
3. Approval of the Feasibility Study of Dir Motorway

S. No	Name	Designation
1	Muzzamil Aslam	Advisor to Honorable Chief Minister for Finance
2	Aftab Alam	Minister Law, Parliamentary Affairs and Human Rights Department
3	Shahab Ali Shah	Chief Secretary, Government of Khyber Pakhtunkhwa
4	Islam Zeb	Additional Chief Secretary (Development), P&D Department
5	Adeel Shah	Secretary P&D Department (Secretary-cum-member)
6	Zia Ul Haq	Secretary C&W Department
7	Saadat Hassan	Secretary Tourism, Culture, Archeology & Museum Department
8	Junaid Khan	Secretary, CCFE&W Department
9	Adil Saeed Safi	Special Secretary (Admin), Chief Minister Secretariat
10	Khalid Iqbal	Special Secretary (Budget), Finance Department
11	Ahmed Kamal	Additional Secretary (Dev), CCFE&W Department
12	Engr. Zahid Arif	Ex-Secretary C&W (Sectoral Expert)
13	Engr. Ahmad Nabi Sultan	Ex-Managing Director, PKHA (Sectoral Expert)
14	Fuad Ishaq	Ex-President, Sarhad Chamber of Commerce & Industry (Private Member)
15	Qurat Ul Ain	Ex-EC Sarhad Chamber of Commerce (Private Member)
16	Shahzad Mehboob	Chief, PPP Support Unit, Planning & Development Department
17	Muhammad Fawad	Director General, GDA
18	Barkat Ullah	PD PKHA
19	Sohail Idress	MD PKHA
20	Mazhar Iqbal	Conservator of Forests, CCFE&W Department
21	Dr. Anwar Ali	Director, PFI, CCFE&W Department
22	Shoaib Gillani	CPO, Tourism Department
23	Salahuddin	Deputy Director Planning, CCFE&W Department
24	Muhammad Afnan Raza	Research Officer, PPP Support Unit, P&D Department

25	Aitezaz Mahfooz	Project Director, REDD+, CCFE&W Department
26	Babar Hannan	Assistant Director (Projects), GDA
27	Sohail Ali	Director, Bridge Factor (Consultant)
28	Yasir Najib	Director, Bridge Factor (Consultant)
29	Waseem Raza	Director, Bridge Factor (Consultant)

The meeting started with a recitation of Holy Quran. Before the formal presentation of the agenda items, Secretary P&D Department set the tone of the meeting with the legal and Institutional Arrangement of the PPP regime in Khyber Pakhtunkhwa and stating that the Concession Agreement of Thandiani Tourism Project; Carbon Removal Through Forestation Project and Feasibility Study Dir Motorway have been thoroughly reviewed at PPP Unit, P&D Department and necessary corrections have been made. It was followed by the discussion on the agenda items given below;

1	Approval of Concession Agreeemnt of Thandiani Tourism Project
	Representative from Tourism Department informed the forum regarding the project that 400 out of 1200 Kanals are demarcated for the Thandiani Tourism Project. Moreover, 30-35% of the 400 Kanal is useable for construction which includes complete package for this including complexes, conference facilities and villas. The Chair asked whether the trees would be affected in the project area. The forum was informed that the PPP process has Environmental Impact Assessment (EIA) which involved environmental approval and its mitigation measures. In addition, there is GDA's resolution in place that for every tree cut, 10 trees to be planted. The Chair directed that utmost care should be taken to preserve and protect the local environment. The consultant explained transaction structure that the bidding criteria contained the reserve price and 5% of the gross revenue of the project. Furthermore, there is safety clause that lease amount is fixed, and 5% revenue to be forecasted with minimum cap of PKRs. 100 million. In addition, during the construction period, Government will be paid PKRs. 100 million annually, disregarding the period of construction. The forum was informed that 4 bidders were pre-qualified out of which 2 bidders submitted their bids. Tahir Builders was selected as winning bidder and Letter of Conditional Award was granted. Advisor Finance Informed the forum that it is a signature project under DBFOM with 50 years concession period which is extendable. Government role is to lease the project site with no involvement of VGF during construction and operation period; no provision of loan guarantee and at the end of the concession period, the asset will be handed back to the government. Additionally, there is a guarantee bond PKRs. 300 million during

construction period (3 years) with under which fixed payment of PKRs.100 million be paid to the government annually.

The consultant further informed the forum that there are three layers of oversight and monitoring. First, GDA regulatory control is in place. Secondly, Independent Auditor is for annual audit of the financial matters of the SPV. Lastly, Independent Engineer also provides monitoring & oversight role. The forum directed that third party firms from Big-4 be engaged for monitoring and oversight for greater transparency. The forum was informed regarding the risk allocation on each party that all risk is parked at private partner. Government responsibility is facilitation; provision of free from encumbrance land and provision of utilities (road, electricity and water) to the zero point. The Chair asked regarding the provision of facilities to the zero point. Director General GDA informed the forum that provision of water is 80% completed. The road is under construction through World Bank financing and Electricity provision is also in the process. Advisor Finance asked if there will be water charges levied for the services provision. The forum was informed in affirmative by GDA. The forum was further informed that certain risks like Force Majeure is shared by both parties: Government and Private Partner

Advisor Finance asked regarding membership of the Government in Board. The Legal Expert informed the forum that observer position to be granted to the representative from the Government. The worthy Chief Secretary informed the forum that observer status carries no weight in decision making. Private member (Mr. Fuad Ishaq) informed the forum that comments of the observer is just observations not carrying weight and the member has voting rights. Advisor Finance opined that there may be a Board of Governors (BOG) for the entire zone of 1200 Kanals given the fact that in future if the remaining 800 Kanals are executed through PPP, the issues of the entire zone may be governed by the BOG constituted. Special Secretary (Admin) asked is there is any provision of Corporate Social Responsibility (CSR) in the agreement. the forum was informed that there is no compulsion of CSR in the Concession Agreement, however, the private partner can undertake CSR on its own initiative.

The private member (Ms. Qurat Ul Ain) asked if there any control of government regarding the safeguard. The forum was informed that SPV safeguard is in place. SPV to be constructed by the winning bidders. In case if third party to be included as shareholder, it will be done according to the Concession Agreement. Change of ownership without consent of

	the Government will be deemed as event of default. The Chair asked regarding the experience criteria of the bidder. The Worthy Chief Secretary informed the forum that for selection of private partner there was criteria of hoteling experience and international exposure. Regarding the future PPP Projects or otherwise, the Chair directed that Chief Secretary and Advisor Finance may develop a formula for any other project may be done through revenue sharing rather than rental or others. Decisions taken by the forum: The forum unanimously approved the Concession Agreement of the Thandiani Tourism Project. Any comments and concerns of the representative from Government as observer to be incorporated in minutes of every meeting. AI & IE to be from Big 4 consultancy firms such as KPMG, E&Y, A.F. Ferguson & Co. (PwC)
2	Approval of the Feasibility study of the Project “Removal of carbon through forestation” The representative from Forest department informed the forum regarding the brief summary of the project, followed by project lifetime, average credits per year, credits over project lifetime, cost estimates and revenue. The forum was informed that initial investment required for the project is USD 70 million for 3 projects. Special Secretary (Admin) asked regarding the year after which expected revenue generation will commence. The forum was informed that revenue will be generated at 4th year. The forum was informed that after approval of the feasibility study, the EOI will be under Single Stage Two Envelope bidding process. Consequently, technically qualified bidder will bid financial bid and bidder with greater the carbon credit share to the Government will be considered as winning bidder. Advisor Finance asked if there is any non-carbon credit revenue share for the government. The forum was informed that base rate for carbon credit share for the government is 40% and any bid higher than the base rate will be the winning bid. Furthermore, non-carbon carbon credit revenue will be generated from tourism, timber, non-timber, thinning of forest under scientific management and other forest industry revenues. Representative from the Forest Department informed the forum that there is a windfall share for the government. For instance, if the carbon credit is sold at USD 25. Any margin above USD 25 will be distributed between government and private partner with 80: 20 ratio.

	Decisions taken by the forum: The forum unanimously approved the feasibility study of the project Carbon Removal through forestation project.
3	Approval of the Feasibility study of Dir Motorway Project Director PKHA presented the salient features of the project and informed the forum that in light of the previous meeting held on December 30, 2026, the Honourable Chief Minister directed to execute the project under EPC Modality. Advisor Finance informed the forum that the concession period is 25 years with Government contribution of around PKRs. 12 billion out of total project cost. Furthermore, the toll rates are high. The Chair informed the forum that the parliamentarian of the Dir constituency is of the view that high toll rate is not the issue. PD PKHA informed the forum that the toll per trip is PKRs. 550, however, it is economical due to time saving, fuel saving and reduced wear and tear of the vehicles which increases affordability in the long run. The worthy Chief secretary informed the forum that the project may be matured under EPC modality in parallel of the PPP modality. PD PKHA informed the forum that there are three options: Option-1 with 4-lanes; option-2 with 4+2 lanes and option-3 with 2 lanes. Sectoral Expert (Mr. Zahid Arif) informed the forum that the project is viable and most required. Furthermore, under PPP modality, the risk will be transferred to private partner and interests of the government can be protected and suggested option-2 as most viable. Decisions taken by the forum: The forum unanimously decided that in the greater public interest, detailed project proposal may be simultaneously developed under both EPC and PPP modalities. Comparative analysis of both modalities should be undertaken before selecting the most reasonable and economical modality.

The meeting concluded with a vote of thanks to and from the Chair.